



# Monthly Network Meeting

February 20, 2019

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## SELN Monthly Network Meeting: February 20, 2019

**AGENDA**

**Welcome to everyone!**

- Brief SELN Project Team intros and welcoming new contacts in member states
- Housekeeping

**Project Business**

- 1) Discussion: *Synthesis of Recent Discussions on Payment and Service Delivery Reforms*
  - Suzzanne Freeze (ICI) and Rie Kennedy Lizotte (NASDDDS), SELN Project Team
  - Mary Sowers, NASDDDS
- 2) Hot Topics
- 3) Project Business
- 4) Upcoming Network meetings (60 minutes, all 3pm ET)
  - March 20<sup>th</sup>
  - April 17<sup>th</sup>
  - May 15<sup>th</sup>

**Stay up to date on the SELN Hub:** [www.selnhub.org/groups](http://www.selnhub.org/groups)



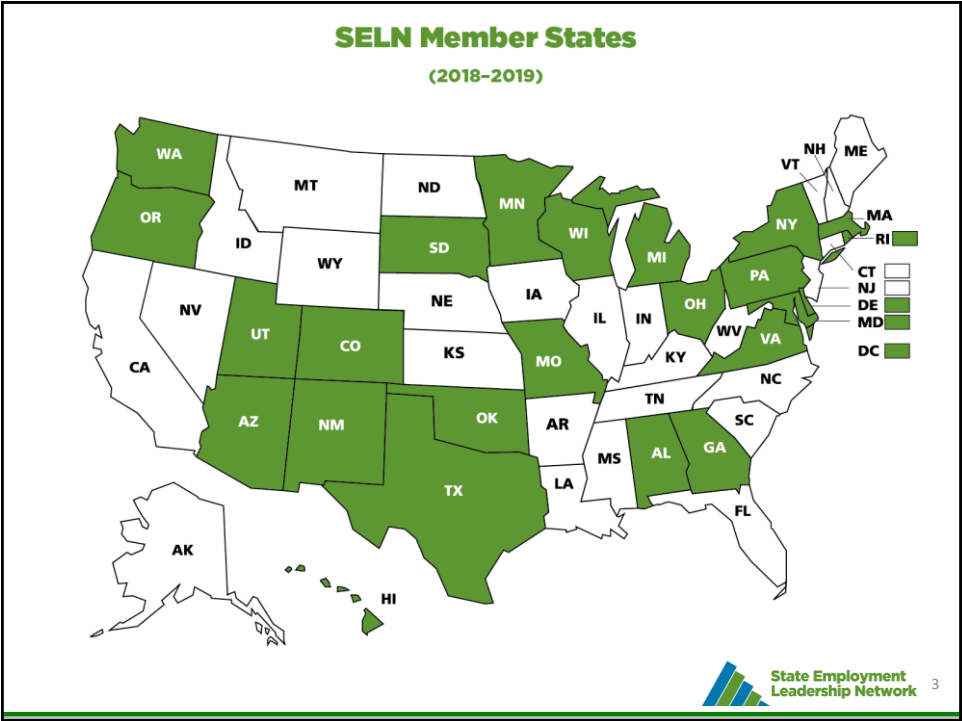
**ThinkWork!**



**Institute for Community Inclusion**  
PROMOTING THE INCLUSION OF PEOPLE WITH DISABILITIES  
UNIVERSITY OF MASSACHUSETTS BOSTON • BOSTON CHILDREN'S HOSPITAL

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## Why Alternative Payment Approaches?

Service delivery reform is  
advancing across the country

The conventional fee-for-service (FFS)  
reimbursement model is slowly being replaced  
by the concept of value-based care.

## Shifting away from Fee for Service

Changes “volume-based care”  
associated with fee-for-service and  
encourages (healthcare) providers  
to deliver the best quality care at  
the most reasonable cost,  
improving the overall value of care.

Alternative payment models are in demand in service delivery reform because **they add a level of payment to improve *quality* for individuals** and systems, in contrast to traditional models of payment such as fee for service.

## What are value-based programs? (as defined by CMS)

- Reward providers with *incentive payments for the quality of care*.
- Part of a larger quality strategy to reform how health care is delivered and funded



### Value-based programs support a three-part aim:

- Better care for individuals
- Better health outcomes
- Lower cost

## Recognize Common Terms

- Bundled Payments
- Fee for Service
- Capitation Payment
- Benchmark Payments
- Outcome-Based Payments
- Value-Based Funding



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## Bundled rates as a fee-for-service (FFS) payment methodology

- Multiple units of a single service, such as a daily rate for personal care services.
- Multiple services within a single benefit category, such as a daily rate for assertive community treatment rehabilitative services.
- Multiple services across benefit categories, such as a daily rate that includes personal care, targeted case management, and physical therapy.

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## Fee for Service

- Fee-for-service (FFS) is a payment model where services are unbundled and paid for separately.
- In health care, it gives an incentive to provide more treatments/services because payment is dependent on the **quantity** of care, rather than **quality** of care.

## Capitation

- A payment arrangement for health care service providers **It pays a set amount** for each enrolled person assigned to them, per period of time, whether or not that person seeks care.
- These providers generally are contracted with a type of health maintenance organization (HMO) known as an independent practice association (IPA).
- The amount of remuneration is **based on the average expected health care utilization** of that patient, with greater payment for patients with significant medical history.

## Benchmark Payments

Payments made at defined intervals or milestones.

- A milestone can be associated with either a **task** or a **phase**.
- Commonly used in the VR systems
  - Job development
  - Job coaching
  - Stabilization
  - Rapid Placement Incentive:
  - Case closures



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## Outcome-Based Payments

Tied to achievement of an agreed upon outcome.  
Payment for a *result* rather than for an *activity*.

Key challenges:

1. **Defining the desired outcomes**
2. **Measuring performance**
3. **Pricing** (the better the performance delivered to the customer, the more the service provider has to gain financially)



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## Value-Based Pricing/Purchasing

- Value-based pricing is a technique for setting the price of a product or service based on the economic value it offers to customers.
- CMS Definition: Payment models that range from rewarding for performance in fee-for-service to capitation, including alternative payment models and comprehensive population based payments.

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## Impact on IDD systems?

- Critical to understand new options coming down the pike
- Determine who else in your state is focused on this area (communicate with and inform each other!)

**How are states incentivizing employment beyond the funding element?**

**How are states creating accountability for outcomes?**

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## Innovation Accelerator Program (IAP)

**The IAP goal is to increase state adoption of strategies that tie together quality, cost and outcomes** in support of community based LTSS programs and building capacity in all four functional areas.

Payment and Service Delivery Reforms  
are the name of the game!

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## Key IAP Takeaways

- CMS roadmap
- Must engage stakeholders
- Significant technical support on VBP strategy measurement system



Measures should:

- advance policy objectives,
- lead to changed behaviors,
- be developed with stakeholder input
- relate to data that can be collected

The cost of collection should not outweigh the benefit of the VBP program.

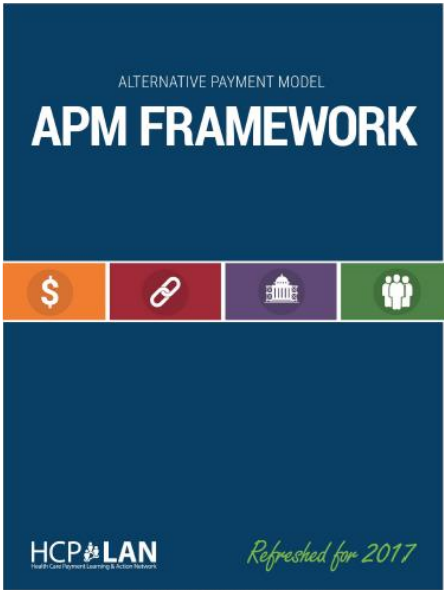
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## State-level Implications

How are states not in the IAP considering pilots to use incentives or payment restructuring (e.g., state funded, ODEP funded)?

What are states in the IAP considering toward alternative payment approaches?

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Available on the SELN Hub:

<http://www.selnhub.org/groups/files/39/552>

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|                                                                                                                         |                                                                                   |                                                                                                                                                  |                                                                                                                                                                                    |                                                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Health Care<br>Payment<br>Learning<br>and Action<br>Network<br>(HCPLAN)<br>Alternative<br>Payment<br>Model<br>Framework |  |                                                                 |                                                                                                   |                                                                                                  |
|                                                                                                                         | <b>CATEGORY 1</b><br>FEE FOR SERVICE –<br>NO LINK TO<br>QUALITY & VALUE           | <b>CATEGORY 2</b><br>FEE FOR SERVICE –<br>LINK TO QUALITY<br>& VALUE                                                                             | <b>CATEGORY 3</b><br>APMS BUILT ON<br>FEE-FOR-SERVICE<br>ARCHITECTURE                                                                                                              | <b>CATEGORY 4</b><br>POPULATION –<br>BASED PAYMENT                                                                                                                                  |
|                                                                                                                         |                                                                                   | <b>A</b><br>Foundational Payments<br>for Infrastructure<br>& Operations<br>(e.g., care coordination<br>fees and payments for<br>HIT investments) | <b>A</b><br>APMs with<br>Shared Savings<br>(e.g., shared savings with<br>upside risk only)                                                                                         | <b>A</b><br>Condition-Specific<br>Population-Based<br>Payment<br>(e.g., per member per month<br>payments, payments for<br>specialty services, such as<br>oncology or mental health) |
|                                                                                                                         |                                                                                   | <b>B</b><br>Pay for Reporting<br>(e.g., bonuses for reporting<br>data or penalties for not<br>reporting data)                                    | <b>B</b><br>APMs with<br>Shared Savings<br>and Downside Risk<br>(e.g., episode-based<br>payments for procedures<br>and comprehensive<br>payments with upside<br>and downside risk) | <b>B</b><br>Comprehensive<br>Population-Based<br>Payment<br>(e.g., global budgets or<br>full/percent of premium<br>payments)                                                        |
|                                                                                                                         |                                                                                   | <b>C</b><br>Pay-for-Performance<br>(e.g., bonuses for quality<br>performance)                                                                    |                                                                                                                                                                                    | <b>C</b><br>Integrated Finance<br>& Delivery Systems<br>(e.g., global budgets or<br>full/percent of premium<br>payments in integrated<br>systems)                                   |
|                                                                                                                         |                                                                                   |                                                                                                                                                  | <b>3N</b><br>Risk Based Payments<br>NOT Linked to Quality                                                                                                                          | <b>4N</b><br>Capitated Payments<br>NOT Linked to Quality                                                                                                                            |

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Hot Topics

1. Raise the Wage Act (H.R. 582)  
<https://www.congress.gov/116/bills/hr582/BILLS-116hr582ih.pdf>

2. Transformation to Competitive Employment Act (H.R. 873/S.260) <https://www.congress.gov/116/bills/s260/BILLS-116s260is.pdf>

3. New guidance documents on the payment of subminimum wages under section 14(c) of the Fair Labor Standards Act (FLSA).  
<https://www.dol.gov/whd/workerswithdisabilities/keynews.htm>

4. WIOA – Opening of Regulation

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# Project Business

- New resources
- Upcoming meetings
- SELN renewals and membership – July 2019
- 2019 Annual Meeting in Alexandria, VA (October 1-3, 2019)

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ENGAGE...

ISSUE NO. 8, 2018

A BRIEF LOOK AT COMMUNITY LIFE ENGAGEMENT

State Roles in Promoting Community Life Engagement:  
Themes from the State Employment Leadership Network's Working Group

Jennifer Sulewski & Jaimie Timmons

INTRODUCTION

As states focus on expanding integrated employment opportunities for people with

WHAT IS COMMUNITY LIFE ENGAGEMENT?

Community Life Engagement, or CLE, refers to how people with intellectual and



Find it on the Hub!

<http://www.selnhub.org/resources/item/58/310>

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www.selnhub.org, Dashboard, Network Meetings and Workgroups

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SELN Guidance for Conversations

THE EMPLOYMENT PATHWAY



THE ROLE OF THE  
CASE MANAGER



STARTING THE  
CONVERSATION



FOCUSING ON THE  
DESTINATION



CAREER  
SUCCESS

FMI: <http://www.selnhub.org/guidanceforconversations>



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